CSIS JAPAN CHAIR

Japan Daily Brief

Saturday, October 31, 2026

2,026 words · 8 min read

RE: BOJ declares inflation target reached, holds rates · US-Japan-ROK FMs vow DPRK denuclearization · Motegi presses Lavrov on detained journalist · Japan security strategy may soften China label

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
63,290.11	157.52	$113.43	1.25%
▲ +1.77%	▲ +0.44%	▼ -2.06%	

TOP STORIES

ECONOMY-BOJ

BOJ declares victory in hitting price target, signals near-term hikes

The Bank of Japan kept its policy rate at *1.25%* and formally declared Japan's inflation trend has reached its 2% goal for the first time in roughly 13 years, while raising its 2027 inflation outlook and signaling near-term rate increases. BOJ Governor **Kazuo Ueda** stated the bank will adjust policy to stabilize inflation at 2%, though he added the goal is not yet sustainably achieved — a distinction flagged by Nikkei Asia that leaves the pace of normalization deliberately ambiguous.

REUTERS

DPRK

U.S., South Korea and Japan vow ‘complete’ denuclearization of North Korea

Foreign ministers of the United States, South Korea, and Japan met on the sidelines of the G20 in Atlanta and issued a joint statement reaffirming their 'resolute commitment' to the complete denuclearization of North Korea, following Pyongyang's firing of approximately ten ballistic missiles into the Sea of Japan on October 29-30. The trilateral meeting — confirmed by the US State Department — also launched a new 'Arctic-Pacific Partnership' framework and addressed economic security coordination.

THE JAPAN TIMES

ALLIANCE

Motegi demands Russia free Japanese journalist in meeting with Lavrov

Foreign Minister **Toshimitsu Motegi** met Russian Foreign Minister Sergey Lavrov in Atlanta — the two countries' first confirmed high-level diplomatic contact in an extended period — and formally demanded the release of Hokkaido Shimbun reporter Yuki Imai, held by Russia's FSB on espionage charges in Sakhalin with consular access denied. Reuters described the meeting as rare given strained ties over Ukraine and the territorial dispute.

MAINICHI

CHINA-JAPAN

Japan may not call China "threat" in security strategy, keep current label

Japan's 2026 review of the Three Strategic Documents is leaning toward retaining the current language on China rather than formally labeling it a 'threat,' per Kyodo, reflecting the Takaichi government's effort to balance defense buildup with diplomatic management of bilateral relations. The decision carries significant signaling weight given ongoing China-Japan friction over rare earths, Taiwan remarks, and Japan's defense spending trajectory.

KYODO NEWS

CHINA-JAPAN

If Takaichi does not retract her remarks on Taiwan, she is neither qualified nor entitled to serve as PM: head of the Japanese delegation visiting China

China's state-run Global Times reported that the head of the Japanese parliamentary delegation visiting Beijing stated that Prime Minister **Sanae Takaichi** must retract her remarks on Taiwan or she is 'neither qualified nor entitled to serve as PM' — a statement framing Beijing's posture toward Tokyo's leadership directly. The report escalates China's public pressure campaign against Takaichi's Taiwan stance beyond Foreign Ministry spokespersons to a Japanese interlocutor on Chinese soil.

GLOBAL TIMES

TECHNOLOGY

On a Remote Island, Japan Puts Its Deep-Sea Mining Ambitions on Display

Japan is pressing ahead with deep-sea mining of rare-earth mud from the seabed near Minamitorishima island, with experts cited by The Diplomat arguing the rush is driven as much by the political value of demonstrating sovereign resource use as by near-term commercial extraction. The effort comes as China's rare-earth magnet exports to Japan fell *25 percent* year-on-year in September 2026, per the tracker data, heightening Tokyo's economic security rationale.

THE DIPLOMAT

STAT OF THE DAY

¥860B

BOJ's new annual ETF sale pace, more than doubling from January

The BOJ set its ETF disposal rate at ¥860 billion per year, accelerating unwinding of its equity holdings accumulated during years of ultra-loose policy.

BOJ sets ETF sale pace at 860 billion yen a year — Reuters

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · SATURDAY, OCTOBER 31, 2026

PM Watch: No confirmed PM appearance today · 1 day(s) since last confirmed appearance

日本銀行 · BANK OF JAPAN · *BOJ Governor Kazuo Ueda*

BOJ accelerates ETF sales, sets annual disposal pace at ¥860 billion

The BOJ announced it will more than double its pace of ETF sales from January, setting a new annual rate of *¥860 billion*. Bloomberg and Reuters report the accelerated unwinding may free fiscal headroom relevant to Prime Minister Takaichi's spending plans.

→ Reuters ↗

経済産業省 · MINISTRY OF ECONOMY, TRADE AND INDUSTRY · *METI Minister Ryosei Akazawa*

METI moves to issue business improvement order to Chubu Electric Power over Hamaoka nuclear data falsification

METI announced plans to issue a business improvement order to Chubu Electric Power over data falsification at the Hamaoka nuclear power plant, a facility that has been offline since 2011. The action escalates regulatory pressure on the utility amid the Takaichi government's broader nuclear policy review.

→ finance.biggo.com ↗

経済産業省 · MINISTRY OF ECONOMY, TRADE AND INDUSTRY · *METI Minister Ryosei Akazawa*

METI and Siemens Energy sign MoC on floating offshore wind cooperation

METI and Siemens Energy signed a Memorandum of Cooperation to advance Japan's floating offshore wind capabilities, a technology the government has prioritized as part of its decarbonization and energy security strategy.

→ tgs4c.com ↗

DIET SESSIONS / LDP

HOUSE OF REPRESENTATIVES

Consumption tax reduction bill at legislative climax; benefit payment details remain unresolved

The consumption tax cut bill is approaching a key Diet vote, per Asahi, but opposition lawmakers warn that the mechanism for compensatory benefit payments to low-income households remains opaque — the opposition framing is that the fiscal cost will fall back on the government.

HOUSE OF REPRESENTATIVES

Panel to be established on fundamental electoral reform; report due within one year

A cross-party expert panel on fundamental reform of the House of Representatives electoral system is to be established, with a report targeted within one year, per Asahi. The move follows the recent agreement among ruling and opposition parties to shrink the lower house from 465 to 434 seats.

● PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
ANN · Oct 19, 2026	**47.1%**	**33.3%**
Asahi · Oct 19, 2026	**50%**	**35%**

Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**
NHK · Oct 14, 2026	**50.8%**	**32%**
JNN · Oct 4, 2026 **· 27d ago**	**63%**	**33.9%**

Discourse: PM Takaichi's cabinet approval has hit record lows across Jiji and Kyodo polling, while Kyodo analysis flags that intraparty dissent could intensify in her second year as her centralizing leadership style draws pushback from within the LDP.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

TECH · NIKKEI ASIA · MURATA MANUFACTURING

Japan's Murata Manufacturing to invest $6.3 billion in capacitor production for AI over five years

Murata Manufacturing plans to invest *$6.3 billion* over five years to expand capacitor production targeting the AI hardware supply chain, per Nikkei Asia. The investment represents one of the largest single capital commitments by a Japanese electronic-components maker to the AI infrastructure build-out.

MANUFACTURING · NIKKEI ASIA · SOJITZ

Sojitz to import rare-earth yttrium from Malaysia, diversifying away from China

Japanese trading house Sojitz will import rare-earth yttrium from Malaysia, per Nikkei Asia, adding a non-Chinese source for a material used in electronics and industrial applications. The move extends Japan's critical-mineral diversification drive as China's rare-earth export restrictions on Japan persist.

AUTO · NIKKEI ASIA · TOYOTA, WAYMO

Toyota and Waymo to launch autonomous robotaxis in Japan in 2027

Toyota and Alphabet's Waymo will deploy driverless robotaxi services in Japan in 2027, per Nikkei Asia, marking the first joint commercial autonomous vehicle deployment for the partnership in the Japanese market. The timeline aligns with Japan's regulatory lift of prior operational limits on commercial drone and autonomous vehicle fleets.

REGIONAL PRESSURE WATCH

Heavy — 89 items (BOJ: 55, DPRK: 25, METI: 3, Chief Cabinet Sec: 3, China MOFA: 2, Kantei/PM: 1)

CHINA

China's Foreign Ministry, via Xinhua and CGTN, urged 'vigilance against forces in Japan smearing China through cultural products' — a continued escalation of Beijing's state-media pressure campaign targeting Japanese cultural exports into official diplomatic language. Separately, the Global Times reported that the head of the Japanese parliamentary delegation visiting China stated PM Takaichi must retract her Taiwan remarks or is 'not qualified' to serve as PM — Beijing's most pointed public challenge to Takaichi's leadership yet, delivered through a Japanese interlocutor on Chinese soil.

NORTH KOREA

North Korea fired approximately ten ballistic missiles into the Sea of Japan on October 29-30, with projectiles assessed as landing outside Japan's EEZ per South Korean and Japanese defense authorities; the salvo —

described as among the largest in recent months — was met with a phone consultation among South Korean, US, and Japanese defense officials and a trilateral FM statement at the G20 in Atlanta. Kim Jong Un separately called for AI drone superiority and observed weapons tests, per KCNA-linked outlets.

RUSSIA

Foreign Minister Motegi met Russian FM Lavrov in Atlanta on October 31 in a rare high-level bilateral contact and formally demanded the release of Hokkaido Shimbun reporter Yuki Imai, held by Russia's FSB on espionage charges in Sakhalin with consular access still denied. TASS confirmed the meeting took place.

Senkaku / ECS: No new China Coast Guard or PLA activity near the Senkakus is reported in today's Tier 1 or Tier 4 data; the baseline of elevated CCG patrol activity in the contiguous zone continues.

> *"If Takaichi does not retract her remarks on Taiwan, she is neither qualified nor entitled to serve as PM"*
>
> Head of Japanese parliamentary delegation visiting China (as reported by Global Times) · If Takaichi does not retract her remarks on Taiwan, she is neither qualified nor entitled to serve as PM: head of the Japanese delegation visiting China — Global Times

Bottom line: North Korea's ~10-missile salvo into the Sea of Japan on Oct 29-30 prompted a trilateral FM response at the G20 in Atlanta but the projectiles landed outside Japan's EEZ — escalatory in volume, not in trajectory. The higher-burn item for Tokyo is Beijing's escalating pressure on PM Takaichi's Taiwan remarks, now channeled through a Japanese parliamentary interlocutor on Chinese soil, which directly intersects with Japan's ongoing security strategy review over whether to label China a 'threat.'

U.S.-JAPAN RELATIONS

ALLIANCE · U.S. DEPARTMENT OF STATE

US-Japan-ROK trilateral foreign ministers' meeting held at G20 Atlanta; denuclearization commitment reaffirmed

The State Department confirmed the US-Japan-ROK trilateral foreign ministers' meeting on the sidelines of the G20 in Atlanta, at which the three parties reaffirmed their 'resolute commitment' to complete denuclearization of North Korea and launched a new 'Arctic-Pacific Partnership.' The trilateral consultations follow North Korea's approximately ten-missile salvo on October 29-30 and come as Pyongyang continues to reject disarmament talks.

INDO-PACIFIC PARTNERS

SOUTHEAST ASIA · THE DIPLOMAT

Japan-Taiwan economic and tech ties deepen even as political constraints tighten

The Diplomat assesses that economic, technological, and societal ties between Japan and Taiwan have never been stronger, but political constraints — including Beijing's pressure on Tokyo over PM Takaichi's Taiwan remarks — are increasingly visible.

INDIA · NIKKEI ASIA

Japan's Omron eyes India as export base for blood pressure monitors amid China demand uncertainty

Omron Healthcare is positioning India as an export hub for blood pressure monitors as it diversifies its manufacturing base away from China, per Nikkei Asia, with the company also opening its first Indian manufacturing facility near Chennai.

SOUTHEAST ASIA · THE JAPAN TIMES

Japan pushes to remove Myanmar from FATF financial watchdog blacklist

> Japan is advocating for Myanmar's removal from the Financial Action Task Force blacklist, per Japan Times, a move the outlet describes as the latest sign that some major countries are seeking to bring the military-backed government in from the cold — a posture that diverges from Western policy on the junta.

• UPCOMING

Nov 1

Okinawa's Shuri Castle main hall set to reopen

Final preparations were underway as of Oct 31 to reopen the main hall of Shuri Castle, destroyed in a 2019 fire, as early as November — a milestone for Okinawa's cultural heritage and tourism recovery.

Nov 1

Japan's tax-free shopping refund system switches to 'refund method' for foreign tourists

Effective November 1, Japan's duty-free shopping system for inbound tourists shifts to a refund-at-exit model, replacing the previous point-of-sale exemption — a significant operational change for retailers and tourism infrastructure.

Dec 1

Gasoline subsidies review deadline — METI directed to scale back from December

PM Takaichi directed METI Minister Akazawa in October to review and scale back gasoline subsidies from December; the policy change and its fiscal contours are due to be finalized by then.

Jan 1

BOJ ETF accelerated sale pace takes effect — rate more than doubles

The BOJ's new annual ETF disposal rate of ¥860 billion takes effect from January, more than doubling the prior pace and constituting the next concrete step in balance-sheet normalization following the Oct 31 policy meeting.

Feb 7

Northern Territories Day — annual diplomatic observance

Japan's annual rally pressing Russia over the four disputed northern islands; this year's observance comes amid the ongoing FSB detention of Hokkaido Shimbun reporter Yuki Imai and Motegi's Oct 31 face-to-face demand to Lavrov.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

Read online · Past issues

You are receiving the Japan Daily Brief as a member of the CSIS Japan Chair distribution list.

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Deirdre Martin at dmartin@csis.org.

generated 7:05 AM ET

↑ BACK TO TOP

© 2026 Center for Strategic and International Studies